

Congress of the United States

Washington, DC 20515

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July 2, 1999

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The Honorable Harold Creel
Chairman
Federal Maritime Commission
800 North Capitol Street, N. W.
Washington, D.C. 20573

Dear Chairman Creel:

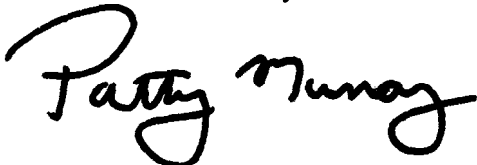
We understand the Commission is reviewing a petition, filed by the China Ocean Shipping Company (COSCO), which seeks to allow the carrier to compete in bilateral trade between our two countries. Approval of the petition would restore the rate-setting procedures that existed prior to May 1, 1999 when the Ocean Shipping Reform Act (OSRA) went into effect.

Unfortunately, when Congress debated OSRA there were no hearings and little advance notice of this provision which takes away COSCO's right to set competitive rates for bilateral trade. OSRA's thrust was to promote competition through deregulation. We are concerned the provision which effects COSCO may be counterproductive to the purposes of the OSRA.

A favorable decision on the COSCO petition would restore the status quo before OSRA. Importantly, the Federal Maritime Commission retains the right to investigate the rates set by COSCO and other carriers to determine whether they are "just and reasonable."

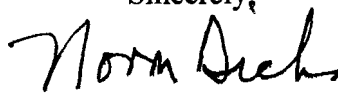
Last month, COSCO celebrated its 20 year anniversary in Seattle, its first port of call in the United States. Washington state values its close relationship with COSCO and we are interested in preserving this important relationship. We encourage the Commission to enable COSCO to compete **fairly** with privately owned shipping companies. To prevent COSCO from competing fairly is contrary to our commitment to a free and open trading system.

Thank you for considering our views.



Patty Murray
United States Senator

Sincerely,



Norm Dicks
Member of Congress



Jim McDermott
Member of Congress